Marvell Technology, Inc. (MRVL): BUY

Analyst: Justin Wen

The premier AI networking pure-play at a discount to its own plan. At $228, the market prices in 36% CAGR versus management's 55-60% implied target. Our DCF sees $387 base case, 70% upside.

BUY	$387	$227.83	+69.9%
RATING	BASE TARGET	SPOT (10/16)	UPSIDE TO BASE

Buy	$387	$228	+69.7%	$242 / $507	10.0%
RATING	BASE TARGET	SPOT (OCT 16, 2026)	UPSIDE TO BASE	BEAR / BULL TARGETS	LIVE WACC (AVG)

$200B	36.6%	$12B	1.50
MARKET CAP	Q2 NON-GAAP OP MARGIN	FY2027 REVENUE GUIDE	BETA (NORMALIZED)

Executive summary

We initiate coverage of Marvell Technology with a **Buy** rating. Marvell is the premier pure-play on AI data center networking, holding a duopoly with Broadcom in PAM4 optical DSPs and rapidly scaling a custom ASIC business for hyperscalers.

At its October 6 Investor Day, management guided FY2027 revenue to $12B (up 47%), FY2028 to $20B (up 67%), and set a FY2031 target of $70-90B. Twenty-one analysts raised price targets; JPMorgan went to $360, RBC to $425.

Our six-year DCF (FY2027-2032) models $12B to $80B revenue (midpoint of the $70-90B target), with EBIT margins expanding from 32% to 38%. Using live CAPM (1.50 normalized beta, 5.1% 10-year, 3.7% ERP), we get 10.0% average WACC and a $387 base-case target, 69.7% above spot.

The key insight: at $228, the market implies 36.2% revenue CAGR, well below our 46% base case and the company's 55-60% implied target. The market is underpricing Marvell's own plan.

> **Our read:** This is the most asymmetric setup in our semiconductor coverage. The Investor Day guidance is unprecedented in scale and specificity, backed by 21 analyst raises. At $228, you are paying for 36% growth while the company guides to 55-60%. Even our bear case ($242) is above spot.

Base-case assumptions

INPUT	BEAR	BASE	BULL
FY2031 revenue ($B)	55	**80**	95
Revenue CAGR (6-yr)	38%	**46%**	52%

Terminal EBIT margin	34%	**38%**	42%
Terminal growth	4.0%	**4.0%**	4.0%
Target per share ($)	$242	**$387**	$507

Justin Wen

Bull case: $507 AI ACCELERATION

Marvell hits the high end of the FY2031 target ($95B) with 42% EBIT margins on operating leverage. Custom ASIC wins compound. Worth $507, or 122% above spot.

Bear case: $242 AI DIGESTION

Execution stumbles, hyperscaler share losses. Revenue reaches only $55B by 2031. Worth $242, still 6% above spot. The downside is protected by the current $12B run-rate.

Verdict

> **We rate MRVL Buy.** This is the highest-conviction AI networking name in our coverage. The 70% upside to base case, with a bear case above spot, offers exceptional risk/reward. Volatile (beta 2.26 raw), so size accordingly.

What would change our mind

- **Design loss:** loss of a major hyperscaler custom ASIC socket to Broadcom.
- **AI capex pause:** hyperscaler capex cuts would impair the 2028-2030 trajectory.
- **Execution miss:** two consecutive quarters missing the $12B FY27 pace.

Justin Wen

Key themes

1. Custom ASIC inflection ACCELERATING

Design wins at AWS, Google, Microsoft entering production. Second source to Broadcom.

2. Optical DSP duopoly STABLE

PAM4 DSPs for 800G/1.6T. 60%+ gross margins, pricing power.

3. Investor Day guidance ACCELERATING

$12B FY27, $20B FY28, $70-90B FY31. 21 analysts raised targets.

4. Data center mix ACCELERATING

79% of revenue, up 46% YoY. AI networking driving growth.

5. Operating leverage ACCELERATING

36.6% op margin in Q2, guiding to 38-40% by Q4.

Other KPIs

METRIC	VALUE
Market cap (at $228)	$200B
Enterprise value	$201B
Q2 FY27 revenue / YoY	$2.74B / +37%
Data center revenue	79% of total (+46% YoY)
Q2 non-GAAP EPS	$0.94 (+40% YoY)
Q2 non-GAAP op margin	36.6%
Net debt	$1.4B

Guidance

Q3 FY2027: Revenue ~$3.15B (+50% YoY). **FY2027:** $12B revenue. **FY2028:** $20B revenue. **FY2031:** $70-90B target (Investor Day, Oct 6, 2026).

Justin Wen

Reverse DCF: what the market is pricing in

At $228, Marvell carries a $200B market cap. Running the model's six-year framework in reverse, the market-implied revenue CAGR is **36.2%**, below our 46% base case and the company's 55-60% implied target. The market is conservative relative to the plan.

SCENARIO	REVENUE	TARGET
Market-implied	~36.2% CAGR	**$228 (spot)**
Bull case	52% CAGR	**$507**
Base case	46% CAGR	**$387**
Bear case	38% CAGR	**$242**

Model

Full three-scenario DCF with live CAPM and implied-ERP tab:
https://docs.google.com/spreadsheets/d/1sfhaMfFuIGYl7EhW8TpSYd3rJwayJgT1WgzStLXo4Vo/edit

Risks to our BUY

- Execution risk on $70-90B FY31 target.
- Customer concentration in hyperscalers.
- Broadcom competition in custom ASICs.
- Semiconductor cyclicality and high beta.

Justin Wen